

CHAPTER 3

Expenses Matter

‘Beware of little expenses. A small leak will sink a great ship.’

—Benjamin Franklin (1706–90)

Mr Talwar’s expensive investment products

Mr Talwar was a broker’s delight as he primarily focused on gross returns—be it returns from stocks or the long-term returns that his Unit Linked Insurance Plans (ULIPs) promised. Gross return is not a true reflection of a portfolio’s performance because it is inclusive of fund managers’ and brokers’ fees. Investors should instead look at net returns (net of the fund managers’ and brokers’ fees and commissions). Had Mr Talwar looked at his portfolio more keenly, he would have realized that his basic purpose of investing money was being defeated by very high expenses. At 1 per cent (or more) brokerage (or fees) per transaction and due to the frequent churn, he ended up paying up to 7 per cent per annum of his stock portfolio as commissions.

ULIPs were even worse. They have three components—insurance, investment and expenses—and their tenors run into decades. However, what Mr Talwar did not realize was that he would end up paying up to 60 per cent of his first-year premium as fees. Such a high fee significantly reduces the principal left for actual investments. This is like starting a run chase in a one-day cricket match with four wickets down! Obviously, the impact is huge but is camouflaged by the complexity of this multi-decadal product.¹